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Report No: ICR00357

IMPLEMENTATION COMPLETION AND RESULTS REPORT
(Loan/Credit/TF Number)
ON A SMALL GRANT

IN THE AMOUNT OF CHF 7.832 MILLION
(US$ 8.2 MILLION EQUIVALENT)

TO
The Socialist Republic of Viet Nam

FOR
Viet Nam: Strengthening Banking Sector Soundness and Development
26 May 2025

Finance, Competitiveness and Innovation
East Asia And Pacific

CURRENCY EQUIVALENTS

(Exchange Rate Effective {Jan 09, 2025})

Currency Unit =	
VND 1 =	US$ 0.00004
US$ 0.77 =	SDR 1

FISCAL YEAR
January 1 - December 31

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ABBREVIATIONS AND ACRONYMS

AML	Anti-Money Laundering
BCP	Core Principles for Effective Banking Supervision issued by the Basel Committee on Banking Supervision
BETF	Bank Executed Trust Fund
BSA	Banking Supervisory Agency
CCyB	Countercyclical Capital Buffer
CHF	Swiss franc (currency)
CIC	National Credit Information Center
CIG	Core Implementation Group
COVID-19	Coronavirus Disease 2019
DSTI	Debt Service to Income Ratio
ECNA	Economic Commission of National Assembly
EDTP	Electronic Debt Trading Platform
EI	Early Intervention
EWS	Early Warning System
FSR	Financial Stability Report
IFC	International Finance Corporation
LCI	Law on Credit Institutions
LTV	Loan to Value Ratio
M&E	Monitoring and Evaluation
MFSD	Monetary and Financial Stability Department
NPL	Non-Performing Loan
PD	Probability of Default
PMU	Project Management Unit
RAM1	Risk Assessment Model
RBS	Risk Based Supervision
RETF	Recipient (SBV) Executed Trust Fund
SBV	State Bank of Viet Nam
SECO	Swiss State Secretariat of Economic Affairs
S&FD	Statistics and Forecasting Department
SGAR	Supervisory Gap Assessment Report.
TA	Technical Assistance
USD	United States Dollar (currency)
VAMC	Viet Nam Asset Management Company
VBSSD	Viet Nam Banking Sector Soundness and Development
WB	World Bank

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DATA SHEET

BASIC DATA

Product Information

Operation ID P171375	Operation Name Vietnam: Strengthening Banking Sector Soundness and Development
Product Investment Project Financing (IPF)	Operation Short Name Vietnam Banking Soundness
Operation Status Closed	Approval Fiscal Year 2020
Current ESRC Low	Small Grant Type Country/CMU Specific

CLIENTS

Borrower/Recipient The Socialist Republic of Vietnam	Implementing Agency The State Bank of Vietnam

DEVELOPMENT OBJECTIVE

Original Development Objective (Approved as part of Approval Package on 17-Sep-2019)

The development objective of the Project is to strengthen the soundness and development of the banking sector by enhancing the capacity of the SBV to address structural weaknesses in the banking system.

FINANCING

Financing Source	Original Amount (US$)	Revised Amount (US$)	Actual Disbursed (US$)

World Bank Administered Financing	2,206,000.00	1,343,808.46	1,343,808.46
TF-B1134	2,206,000.00	1,343,808.46	1,343,808.46
Total	**2,206,000.00**	**1,343,808.46**	**1,343,808.46**

RESTRUCTURING AND/OR ADDITIONAL FINANCING

Date(s)	Type	Amount Disbursed (US$M)	Key Revisions
27-Apr-2023	Portal	0.69	• Disbursement Estimates • Disbursement Arrangements • Loan Closing Date Extension

KEY DATES

Key Events	Planned Date	Actual Date
Concept Approval		25-Jun-2019
Approval	10-Jul-2019	17-Sep-2019
Additional Financing and or Restructuring Sequence.01	Not Applicable	27-Apr-2023
ICR Sequence.01 (Final)	--	22-Jun-2025
Operation Closing	31-Oct-2024	31-Oct-2024

RATINGS SUMMARY

Outcome	Bank Performance	M&E Quality
Moderately Unsatisfactory	Satisfactory	Modest

ISR RATINGS

No.	Date ISR Archived	DO Rating	IP Rating	Actual Disbursements (US$M)
01	10-Mar-2021	Moderately Unsatisfactory	Moderately Unsatisfactory	0.12

02	06-Oct-2021	Moderately Unsatisfactory	Moderately Unsatisfactory	0.12
03	31-Aug-2022	Moderately Satisfactory	Moderately Satisfactory	0.40

SECTORS AND THEMES

Sectors

Major Sector	Sector	%	Adaptation Co-benefits (%)	Mitigation Co-benefits (%)
FY17 - Financial Sector	FY17 - Banking Institutions	74	0	0
	FY17 - Public Administration - Financial Sector	26	0	0

Themes

Major Theme	Theme (Level 2)	Theme (Level 3)	%
FY17 - Economic Policy	FY17 - Macro-financial policies	FY17 - Monetary and Credit Policies	59
FY17 - Finance	FY17 - Financial Infrastructure and Access	FY17 - Credit Infrastructure	32
	FY17 - Financial Stability	FY17 - Financial Sector oversight and policy/banking regulation & restructuring	95

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ICR Main Contributor	Siegfried Zottel, Michael Edwards	

I. PROJECT CONTEXT AND DEVELOPMENT OBJECTIVES

Context

1. **Viet Nam financial system is predominantly dominated by banks, which play a pivotal role in mobilizing savings and channeling them into productive uses**. As of end-September 2024, the banking sector includes 31 local commercial banks, four state-owned commercial banks and nine wholly foreign-owned banks, and two policy banks[1]. With all banks' total assets and credit equivalent to 196 percent and 133 percent of GDP respectively, these figures place Viet Nam among the highest in developing countries, on par with more developed economies (average credit to GDP is 46 percent for LMICs and 145 percent for UMICs) and near developed economies' level (159 percent in OECD) (Figure 1).

2. **State-owned commercial banks account for around 41 percent of total banking assets.** Yet, competition is strong, with the top ten banks collectively holding approximately 65 percent of the sector's assets. Notably, Viet Nam's banking sector has demonstrated resilient credit growth -

[1]https://www.sbv.gov.vn/webcenter/portal/en/home/sm/chitiet/inbaiviet?dDocName=SBV239116&_afrLoop=22424275209937774#%40%3F_afrLoop%3D22424275209937774%26centerWidth%3D100%2525%26dDocName%3DSBV239116%26leftWidth%3D0%2525%26pageTemplate%3D%252Foracle%252Fwebcenter%252Fsiteresources%252FscopedMD%252Fs8bba98ff_4cbb_40b8_beee_296c916a23ed%252FsiteTemplate%252Fgsreb7f299f_0d88_4514_a092_22e830e01a86%252FTemplate.jspx%26rightWidth%3D0%2525%26showFooter%3Dfalse%26showHeader%3Dfalse%26_adf.ctrl-state%3D17cwh1bnlr_426

averaging 14 percent annually over the past five years - even during the COVID-19 pandemic, (Figure 2).

Restructuring of the banking sector post-2012 banking crisis

3. **The 2012 banking crisis was triggered by a surge in non-performing loans (NPLs), prompting the Government to issue Decision 254, which outlined a three-year scheme to restructure credit institutions.** This initiative led to notable progress in addressing system liquidity, strengthened supervision and regulation, sector consolidation, and NPL resolution. Subsequently, over a dozen troubled banks[2] were either merged or brought under direct control by the State Bank of Viet Nam (SBV): the number of domestic commercial banks was reduced to 35 from 52.

Figure 1. Bank credit to GDP ratio (2022)

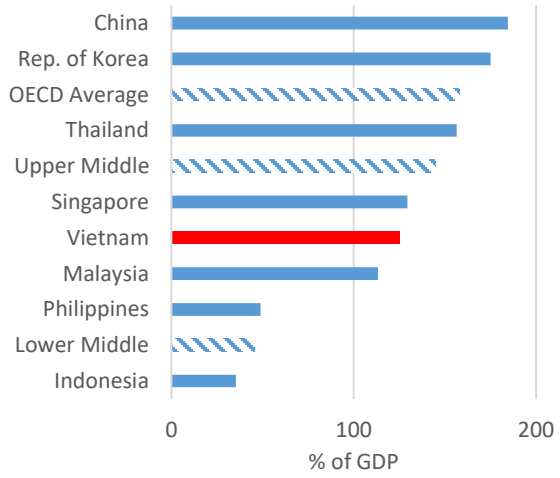
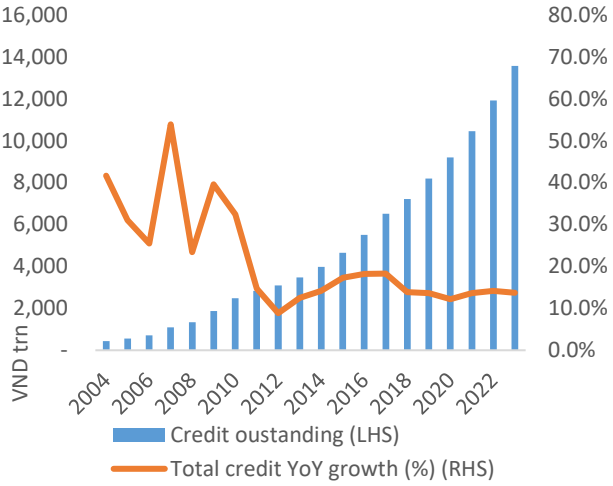


Figure 2. Viet Nam's credit and credit growth



4. **In response to the banking crisis, Viet Nam requested an initial joint WB-IMF FSAP be undertaken.** It was determined the regulatory and supervisory framework required substantial strengthening across many areas to ensure a path to longer-term financial soundness and development[3]. In addition, within the SBV, the responsibilities for monitoring financial stability were assigned to the Monetary and Financial Stability Department (MFSD), established partly in response to the FSAP recommendations. However, responsibilities for financial stability monitoring and macroprudential supervision in SBV were somewhat diluted, as some responsibilities for macroprudential policies were placed outside the MFSD[4].

5. **In terms of bad debt resolution, a major step in handling the NPLs in the banking system was the establishment of the Viet Nam Asset Management Company (VAMC) in July 2013[5]**. The transfer of

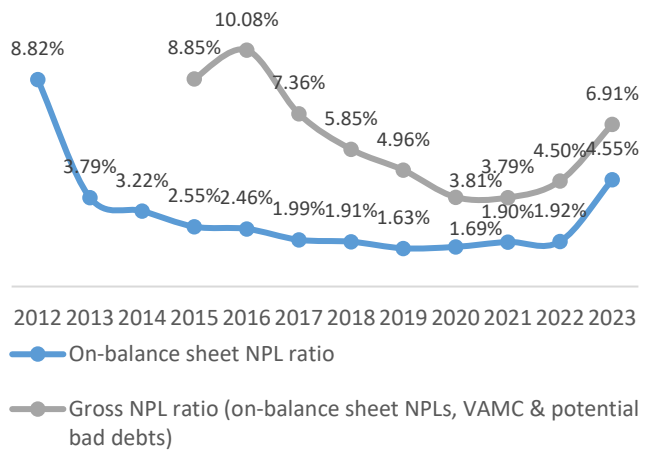
[2] A summary of restructured banks in Annex 5.
[3] https://documents1.worldbank.org/curated/en/216401468329363389/pdf/926180FSAP0P1300PUBLIC00Vietnam0FSA.pdf
[4] The SBV, through its Banking Supervision Agency (BSA), is responsible for supervising credit institutions, while the Ministry of Finance oversees the Insurance Supervision Agency (ISA) and the State Securities Commission (SSC).
[5] https://vietnam-business-law.info/blog/2013/6/2/new-tool-to-resolve-bad-debts

these bad debts to VAMC[6] played a key role in reducing the NPL ratio on the banks' balance sheets along with enabling the renewed credit expansion starting in 2015, although this approach did not lead to a full and transparent NPL loss allocation or to an effective reduction of NPLs across the financial system.

6. **However, further restructuring was required in 2015 when three banks, found to be in negative equity, were acquired by the SBV at no cost (hence the name "zero dollar" banks)**. Due to extensive fraud and misconduct, the restructuring or mergers of these banks proved impractical. Under the 2010 SBV Law amendments, which stipulates the SBV's authority to apply special measures to troubled financial institutions, these banks were taken under full state ownership to safeguard deposits[7] and maintain systemwide stability. Another bank was subsequently placed under SBV's special control due to a high level of NPLs.

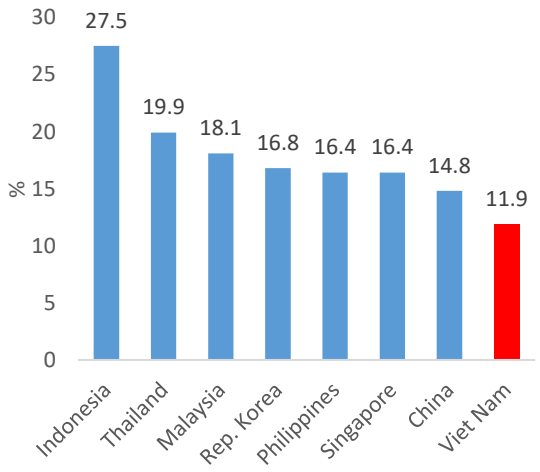
7. **Further strengthening NPL resolution efforts, Resolution 42 was introduced in 2017 to provide enhanced legal mechanisms for collateral seizure and market-based NPL sales, significantly improving debt recovery processes[8].** However, system-wide NPLs gradually rose to 4.6 percent by 2023 (Figure 3), exacerbated by the economic impacts of COVID-19 and the inclusion of bad debts from newly troubled banks. While VAMC has been instrumental in stabilizing the banking sector, its effectiveness has been limited by constraints in debt resolution mechanisms and legal enforcement, requiring further reforms to enhance transparency and expedite the disposal of bad debts.

Figure 3. Banking sector's non-performing loans



Note: Gross NPL data is only available from 2015. Gross NPL for 2023 is estimated. Source: SBV, FinGroup

Figure 4. Capital adequacy ratios (2023)



Source: SBV, CEIC, Money Authority of Singapore, IMF

[6] The VAMC acquired approximately VND 310,000 billion (equivalent to around USD$13.5 billion) in NPLs (more than 26,000 bad loans) by the end of 2017, financed by the issuance of VAMC special (interest-free) bonds. Most of the non-performing assets were transferred from commercial banks to the VAMC at close to book value.
[7] In 2014, deposit insurance was VND 50 million per deposit (about USD $2,000 equivalent).
[8] https://english.luatvietnam.vn/resolution-no-42-2017-qh14-dated-june-21-2017-of-the-national-assembly-on-the-pilot-settlement-of-bad-debts-of-credit-institutions-115390-doc1.html

8. **The implementation of Basel II standards, formalized through Circular No. 41/2016, was a crucial reform aimed at enhancing risk management and capital adequacy of the banking sector.** Basel II introduced stricter capital adequacy, requiring banks to maintain a minimum CAR of 8 percent, calculated based on credit, market, and operational risks. This framework improved risk assessment methodologies and encouraged banks to adopt more sophisticated risk management practices. However, the Capital Adequacy Ratio (CAR) for Vietnamese banks average a low 11.9 percent at end-2023, among the lowest in Asia (Figure 4).

9. **While the regulatory and supervisory framework of the financial sector has made progress in recent years, it remains fragmented, leading to gaps in consolidated oversight of financial groups.** All supervisory entities suffer from limited operational independence. No single institution is responsible for gauging and managing the overall stability risks in the financial system, nor is there a legal framework in place for macro-prudential policy.

10. **The LCI was revised again in November 2017 to allow the SBV to better manage weak credit institutions.** Furthermore, a new supporting Resolution N°42 was introduced in May 2017 with a five-year expiration to better allow banks and the VAMC to use an expedited foreclosure process[9]. Generally, these reforms strengthened bank balance sheets through the restructuring and/or shedding of NPLs to the VAMC.

11. **However, without a formal and robust coordination mechanism, the ability to detect and respond to systemic financial risks remains impaired.** The SBV's ability to perform its supervisory, early intervention and resolution functions toward banks and their related business groups is compromised, as close linkages between some banks and other elements of the financial sector (e.g., securities markets, insurance) and the real sector (e.g., real estate) further highlight the urgent need for stronger macroprudential regulations.

12. **While the SBV undertook several important measures to contain the imminent risks of banking sector instability, deeper structural challenges remained unaddressed.** Key gaps included the need for more decisive action to resolve the sizable stock of existing NPLs and to prevent the accumulation of new ones - particularly by strengthening the identification and mitigation of related-party lending. Additionally, further reforms were needed to modernize key dimensions of the SBV's legal, supervisory, and regulatory regimes, and to improve the quality of bank's financial reporting.

13. **To address the challenges outlined above, the Vietnam Banking Sector Soundness and Development (VBSSD) trust funded project was developed in partnership with the Swiss State Secretariat of Economic Affairs (SECO).** The Trust Fund provided CHF 7.832 million over a 5-year period (2018–2023) with the State Bank of Vietnam (SBV) as the Recipient[10].

14. **The SECO Trust Fund was established to strengthen the soundness and development of the banking sector by enhancing the SBV's capacity to address structural weaknesses.** This included

[9] Only for VAMC loans held at the time of passage of Resolution 42 in 2017.
[10] The direct beneficiary of this program is the State Bank of Vietnam (SBV), including the Banking Supervisory Agency (BSA), the Monetary and Financial Stability Department (MFSD), the Legal Department, Deposit Insurance of Vietnam (DIV) and the Vietnam Asset Management Company (VAMC).

better alignment of the SBV's legal, supervisory and regulatory frameworks with the recommendations of the FSAP and the government's 2020-2025 Banking Sector Strategy[11]. The VBSSD Program commenced operations on September 1, 2018, and was initially scheduled to close on April 30, 2023. However, it was extended by 18 months to October 31, 2024, to allow for completion - partly due to delays caused by the Covid-19 pandemic[12].

15. **The Bank Executed Trust Fund (BETF) component focused on delivering technical and policy recommendations[13] to support soundness and development of the banking sector, by enhancing SBV's capacity to address structural weaknesses within the system.** In parallel with the launch of the BETF, SBV organized and partially funded a Recipient Executed Trust Fund (RETF), reflecting its commitment to informing and training SBV staff in support of the many envisaged changes. This RETF aimed to strengthen understanding and prepare for the implementation of key BETF deliverables among SBV staff and other relevant government stakeholders - many of which introduced new focus areas to Viet Nam's legal, regulatory and supervisory regimes. The RETF was expected to offer several key advantages:

    - **Local Ownership and Capacity Building**: RETFs empower the recipient to take the lead in project execution, fostering a sense of ownership and ensuring alignment with local priorities. This process also helps build local capacity in project management and implementation.

    - **Flexibility**: As the recipient directly manages these funds, there can be more flexibility in adapting the project to local conditions and changing needs.

    - **Direct Implementation Experience**: RETFs provide the recipient with hands-on experience in implementing projects, which can be valuable for future initiatives.

16. **As the RETF project was embedded within the broader BETF-financed TA program, this ICR also seeks to highlight the RETF's specific contributions by situating its outcomes within the overall VBSSD program[14].** Additionally, the RETF portion of the SECO Trust Fund supported the operations of the SBV's Project Management Unit (PMU). A summary of annual project costs by Pillar is provided in Annex 2, while overall financial information for the VBSSD project is presented in Annex 6.

17. **It is noteworthy that the Project delivered approximately one hundred outputs to the SBV across the four pillars from late 2018 to late 2024 – an impressive achievement, particularly given the significant disruptions caused by the COVID-19 pandemic during a critical phase of implementation.** These deliverables[15] informed the development of revised or new internal supervisory processes, regulations, VAMC operations and proposed legal amendments, thereby

[11] https://thuvienphapluat.vn/van-ban/EN/Tien-te-Ngan-hang/Decision-986-QD-TTg-2018-development-strategy-of-Vietnam-Banking-Sector-by-2025-and-vision-to-2030/461302/tieng-anh.aspx#google_vignette
[12] A second, subsequent End Disbursement Date extension was approved in late-2024 to September 2025 in order to complete new tasks requested by the SBV, which are not the subject of this ICR.
[13] The BETF provided technical expertise and global best practices that may not have been readily available within Viet Nam.
[14] The BETF outcomes are described under each Pillar in the 'Assessment of Achievement of Each PDO Outcome' section of the ICR.
[15] See Annex 7 for listing of all key project deliverables

supporting efforts to strengthen the soundness and the development of the banking sector by enhancing the SBV's capacity to address structural weaknesses in the banking system.

18. **Finally, oversight of the VBSSD project was organized through an *ad hoc* Tri-Partite Meeting Arrangement (TMA).** Led by the assigned SBV Deputy Governor and composed of relevant SBV departments, the World Bank and SECO, the TMA was designed to serve as a regular, periodic forum to review progress and resolve implementation issues across the four Project pillars.

Project Development Objective

19. **The development objective of the Project was to strengthen the soundness and development of the banking sector by enhancing the capacity of the SBV to address structural weaknesses in the banking system.**

20. **Specifically, the VBSSD related activities were designed to support the Vietnamese Government's reform efforts to strengthen the banking sector legal, regulatory and supervisory regimes by focusing on four interlinked pillars, supported by eleven (11) expected key results (detailed subsequently):**

    Pillar I. Improving the Legal and regulatory framework for non-performing loan (NPL) resolution and banking sector oversight to more closely align it with international standards and good practice.

    Pillar II. Strengthening existing supervision capacity at the level of individual banks to improve compliance with several Basel Core Principles (BCP).

    Pillar III. Proper management of underperforming assets and weak banks to provide for the resolution of NPLs and weak banks in a timely manner.

    Pillar IV. Enhancing financial stability and macro-prudential oversight to mitigate systemic risks emanating from the banking sector.

21. **As outlined in the 'Assessment of Achievement of Each PDO Outcome' section, the objective of the RETF component of the Trust Fund was, among other things, to support the implementation of the BETF-backed reforms** by: (i) delivering targeted capacity-building programs to SBV staff to support the adaptation of newly developed supervisory processes and regulatory frameworks; (ii) organizing overseas study visits for SBV and relevant Government of Viet Nam officials to gain firsthand insights into the implementation challenges faced by peer countries; (iii) developing and deploying customized supervisory software tools to support newly implemented processes, and (iv) financing consultant services to strengthen the SBV's Project Management Unit (PMU), including temporary IT and office support to ensure effective administration of the VSBBD project.

II. KEY EXPECTED OUTCOMES

PILLAR 1: Strengthening Legal Framework for Banking Sector

Expected key results under this Pillar include:

22. **Activity 1.** The expected key result was a legal framework better aligned with international standards and good practices for banking supervision and resolution and more effective and efficient NPL resolution.

PILLAR 2: Strengthening Banking Regulation and Supervision

Expected key results under this Pillar include:

23. **Activity 2. Update of the supervisory approach – early warning system**. This activity aimed to establish prudential ratio requirements and reporting for off-site supervision, including early warning indicators for the prompt detection of worsening conditions of individual banks, and how the indicators feed into the risk assessment and supervisory action plans of individual institutions and the system.

24. **Activity 3. Early intervention supervisory framework**. This activity aimed to enhance the soundness of the banking sector through a strengthened legal and regulatory framework that enabled the timely identification and resolution of emerging weaknesses in banks.

25. **Activity 4. Supervisory approach update – Risk Based Supervision**. This activity aimed to provide advisory services and capacity building for on-site examinations to support the implementation of risk-based supervision, building on and upgrading the earlier Canadian-funded TA project outputs provided the SBV.

26. **Activity 5. Rapid response TA for regulatory improvements.** This activity aimed to support the development of regulations that strengthened risk management and corporate governance in the banking sector, to ensure banks' decision making followed commercially oriented business objectives and sound risk management practices.

PILLAR 3: Strengthening Underperforming Assets and Weak Bank Resolution

Expected key results under this Pillar include:

27. **Activity 6. Strengthening VAMC's governance and operational framework.** This activity aimed to establish a sound legal foundation for the VAMC through the promulgation of regulations that provided it with enhanced powers, including the ability to conduct out-of-court debt restructuring and facilitate asset title transfers, while also strengthening the overall insolvency framework. It was also important to enhance the corporate governance and operations of the VAMC to ensure adequate valuation of NPLs and increased recoveries.

28. **In parallel, changes to the broader legal and regulatory framework were expected to support a comprehensive approach to distressed asset resolution by eliminating obstacles to the enforcement of claims**, updating the Enterprise law and the Land law, and improving the enforcement of civil judgments. Once in place, the new framework was to explicitly empower the VAMC to proceed with

restructuring strategies for the corporate sector in distress, including through debt workouts and participation in debt-to-equity swaps, with a view to later selling participations in a manner that would help maximize the value of distressed assets.

29. **Activity 7. Non-Performing Loans (NPLs) Trading Market**. This activity aimed to provide technical support to VAMC in drafting a strategy for developing a competitive market for the sale of NPLs, designing products and sales processes, and delivering related training for actual implementation. This activity was also expected to include a study tour to one or more currently operating Asset Management Companies to learn from their experiences in developing an NPL market, restructuring products, conducting NPL sales, and observing a fully functioning NPL market in action.

30. **Activity 8. Bank Recovery Strategy.** This activity aimed to support efforts to minimize potential disruptions to financial stability arising from banks burdened by NPLs and holding weak financial positions. A broad range of powers and appropriate tools was expected to be in place for the SBV to address such institutions[16] effectively.

PILLAR 4: Strengthening Financial and Macro-Prudential Stability

Expected key results under this Pillar include:

31. **Activity 9. Monetary and Financial Stability Department (MFSD) Strategy and action plan.** This activity involved reviewing and updating the MFSD's current strategic documents to support a core MFSD team in developing a detailed short- and medium-term strategy and action plan for the department. A key element of the work included identifying the activities and outcomes needed by entities beyond the MFSD in order to develop a robust macro-prudential framework[17].

32. **Activity 10. Systemic Risk Framework.** Activities under this component included advisory support for developing a tailored analytical framework for financial system risk assessment. This work encompassed: (i) mapping critical elements of the formal and informal financial system and key economic sectors that presented systemic risks; (ii) mapping the inter-connectedness of key actors in the financial sector and the real economy, along with transmission mechanisms of systemic risks; and (iii) identifying key information needs, available data sources, alternatives where preferred information was u n available, and designing and operating the core and supplementary tools required for ongoing risk monitoring.

33. **Activity 11. Stress Testing Models and Early Warning Indicators.** Activities under this component aimed to build on the work carried out under Activity 2 to identify a subset of early warning indicators and conduct preliminary stress testing modelling. The early warning indicators were expected to be tailored to the Viet Nam economy and risks represented by various sectors. A review of the different stress-testing models was expected to be conducted, considering data availability, staff capacity, and other factors, to short-list the most appropriate ones. The selected models were expected to be used for simulations, pilots and then for live exercises. MFSD staff capacity was expected to be strengthened to operate and update the models. Data from these models, in conjunction with other

[16] Activity 7 under Pillar 3 was subsumed into the proposed amendments to the LCI law under Pillar 1.
[17] This activity was closely aligned with ongoing work under the Asian Development Bank's (ADB) support with to drafting the legal foundations for the macro-prudential supervisory framework and the baseline review for MFSD.

relevant information, was expected to be used to establish early warning indicators for systemic risks.

34. **Activity 12. Systemic Risk-Related Reports.** This activity aimed to support the development of systemic risk-related reporting tools, with a focus on Financial Stability Reports, which were expected to serve as critical outputs of MFSD and important tools for increasing transparency in the financial sector and the broader economy. The work included identifying different target audiences for systemic risk-related information, understanding their information needs, and designing the format and content of appropriate reports. The project also supported MFSD in drafting and disseminating a pilot financial stability report.

35. **Underlying these 12 activities within the VSBBD project, the RETF played a crucial role in supporting the SBV's Project Management Unit (PMU) in the administration and monitoring of the project.** Key PMU-related tasks funded by the RETF included:

- Providing operational support to the PMU through the hiring of a local project coordinator, monitoring and evaluation specialist, and consultants for financial management, environmental and social safeguards, and procurement.
- Engaging a local independent audit firm to conduct annual audits[18].
- Renting necessary office equipment, including computers, printers, scanners, copiers, accounting software, and facilities for PMU consultants.
- Retaining translators and covering costs related to document printing and binding across the four pillars, as well as for the TMA, mid-term assessment, and donor presentations.

36. **These PMU-related functions were critical for recordkeeping, ensuring the smooth dissemination of information, and facilitating the delivery of outputs within the SBV for the VSBBD project.** Additionally, the RETF provided targeted services for each pillar, as outlined below, to support the enhancement of SBV staff understanding of the new draft internal processes, regulations, and law reform recommendations introduced through the Project.

A. ASSESSMENT OF ACHIEVEMENT OF EACH PDO OUTCOME

Pillar I

37. **The objective of the legal pillar was to support the SBV in revising the laws associated with the banking sector, primarily the SBV law and Law on Credit Institutions (LCI).** The PDO Indicator was partially realized with passage of the Credit Institution Law amendments in the National Assembly.

38. **Activity 1.** The LCI amendments, enacted by the National Assembly in January 2024, represented an important set of improvements to the LCI law. Key changes included:

- Incorporated Resolution 42 into the LCI and expanded its scope to cover all NPLs not just those loans granted before 15 August 2017.

[18] Concluded as of 2023 to date.

- Amended several regulations to limit manipulation and domination of credit institutions in addition to additional requirements on governance and administration.
- Strengthened the Early Intervention ("EI")/corrective action provisions.
- Established a "remediation plan" requirement that is more comprehensive than what was previously required of a Credit Institution (CI) experiencing financial difficulties.
- Modified the "special loan" provisions (regarding loans from SBV, another CI or the deposit insurance agency) to a CI in financial distress.
- Strengthened reporting requirements of CIs to the SBV.
- Strengthened regulations on the operations of credit institutions and foreign bank branches.
- Enhanced financial consumer protection.
- Created a new legal framework for testing technology applications and deploying new products, services, and business models.

39. **Notwithstanding the improvements made to the LCI by the National Assembly, the revised law remains significantly non-compliant with some of the Basel Core Principles and Key Attributes.** For example, the LCI does not provide the SBV with sufficient powers for effective consolidated group supervision, risk-based supervision, early intervention, recovery planning for credit institutions, or resolution of a non-viable credit institution.

40. **In summary, the remaining deficiencies in the legal powers contained in the amended LCI are significant.** The revised LCI does not equip the SBV with the legal powers needed to supervise credit institutions consistent with the Basel Core Principles and with good international practice. The absence of comprehensive resolution powers and associated safeguards significantly impedes the ability of the SBV to resolve a non-viable credit institution in a manner that meets appropriate resolution objectives, consistent with the stability of the financial system in Viet Nam.

41. **Viet Nam is exposed to a major risk that the SBV will be unable to respond effectively to the failure or acute distress of credit institutions.** Because of the inadequate legal powers (coupled with a lack of resolution policies and practices within the SBV), this would be to the detriment of depositors, other users of the financial system, the stability of the financial system, and the economy. Furthermore, the lack of sufficient resolution powers and the existence of the special loan provisions in the LCI also expose the government to major fiscal risk. Public funds, whether from the SBV or from the Ministry of Finance, may need to be utilized for bank resolutions, thereby impacting the government budget and public debt.

42. **In light of the envisaged reforms of the SBV and/or LCI law, the Project offered detailed recommendations to the SBV for consideration** as it finalizes the draft amendments ahead of their submission to the National Assembly.

Key achievements of the RETF in Pillar I

43. **To support the preparation of the proposed amendments to the LCI law, the RETF in Pillar I funded several activities,** including: (i) workshops for SBV staff to review the current legal framework and regulations governing the banking sector; (ii) a workshop sharing international experiences and recommendations on group supervision; (iii) a seminar on anti-money laundry (AML) with a focus on virtual assets; (iv) a pan-Asian survey on virtual assets; (v) training sessions on the revised AML law,

conducted in both the Northern and Southern Viet Nam; (vi) a seminar comparing central bank laws from other countries; (vii) a session sharing international perspectives on legal protection for supervisors; and (viii) instructional seminars for SBV staff on the implications of the revised LCI law draft. These activities collectively helped better inform SBV staff responsible for the implementation and for communicating the envisaged changes to the banking sector.

44. Moreover, the RETF supported a study tour to two Asian countries for SBV and Government of Viet Nam officials. This study visit enabled participants to engage directly with counterparts in other countries, significantly enhancing their understanding of the rationale for LCI reforms. This study visit proved highly impactful, fostering broader support for the proposed reforms to the LCI.

Pillar II

45. The objective of this pillar was to support the authorities to strengthen the banking supervision and regulatory framework by better aligning with international standards and good practice. The PDO Indicator of the BSA's operational capacity strengthened according to the essential criteria of the respective Basel Core Principles (BCPs) 8 and 9, which focus on risk-based supervision.

46. Activity 2. Update of the supervisory approach – Early Warning System. The BSA has adopted thresholds as warning signals for a range of prudential ratios. However, it has not developed a comprehensive Early Warning System (EWS) based on a number of key ratios to ensure early detection of banks' vulnerabilities. Such a system would assist in prioritizing supervisory activities, facilitate better planning for on-site supervision and provide timely information to senior management.

47. Activity 3. Early Intervention Supervisory Framework. Proposals made by the Project team comprising preventative actions for early-stage stress and corrective measures, have not been implemented by the SBV. However, owing to the continued reluctance of SBV counterparts to exercise individual supervisory judgement, the VBSSD approach was adjusted to focus on delivering of implementation-ready frameworks for these activities. By the end of 2023, the frameworks for key Pillar II activities (Risk Assessment Model (RAM), Early Warning System (EWS) and Early Intervention (EI)) were provided to the SBV.

48. Activity 4. Supervisory approach update – Risk Based Supervision. The Project team undertook extensive discussions with BSA staff, but was unable to reach a consensus on the methodology for implementing risk-based supervision.

49. Activity 5. Rapid response TA for regulatory improvements. To date, there is no written inspection processes in place to assess the adequacy and effectiveness of each bank's overall risk management framework.

50. Moreover, as repeatedly emphasized throughout the Program, the need remains for SBV, BSA and individual supervisory staff to have comprehensive legal protection for actions taken in 'good faith'[19]. The absence of legal protection is a fundamental deficiency in the LCI and SBV law, rendering the SBV non-compliant with the Basel Core Principles and FSB Key Attributes, and signifcantly below

[19] Legal protection should, of course, exclude cases involving fraud, corruption and negligence.

international good practice, including those of many peer countries in East Asia. Both the recently revised LCI law and current SBV law lack in this important regard.

51. **In summary, the Program provided extensive advisory services (see Annex 7) to the SBV's BSA for, *inter alia*, establishing prudential ratio requirements, enhancing off-site and strengthening prudential supervision and analytical reporting.** This included offering early warning indicators for the prompt detection of worsening conditions of individual banks. Moreover, the TA supported how those reports and indicators fed into the overall risk assessment and supervisory action plans of individual institutions and the system.

52. **The overarching absence of comprehensive consolidated prudential regulations and supporting supervision guidelines impairs the effectiveness of banking supervision for institutions with subsidiaries in Viet Nam or abroad**, or which are part of a (parent) holding company. There are no powers in the law to enable the SBV to regulate and supervise on a consolidated group basis, and the revised 2024 LCI law does not include provisions in this regard.

53. **Finally, to bolster the bank resolution framework, the Project recommended the SBV establish a dedicated Resolution Unit with responsibility for developing resolution policies and practices, and for the implementation of bank resolutions.** As of now, this recommendation has not been implemented.

Key achievements of the RETF in Pillar II

54. **As part of efforts to modernize banking supervision and regulation under the BSA, the RETF supported a series of predominantly off-site sessions aimed at enhancing SBV staff's understanding in in alignment with the key TA objectives in Pillar II.** These initiatives included: (i) Multiple off-site seminars discussing the merits and challenges of adopting an EWS model; (ii) Orientation and training sessions for the RAM1; (iii) capacity-building activites to strengthen bank inspections and risk monitoring, with separate sessions held in both Northern and Southern Viet Nam); (iv) A large-scale workshop providing an overview of the risk-based supervision framework; (v) Seminars on the application of EWS in supervision, delivered at SBV branches across provinces and cities; (vi) A seminar focused on potential early intervention measures; and (vii) Seminars on credit risk measurement requirements of the BSA using the PD model, followed by practical sessions for building and testing various PD models with staff.

55. **In summary, the RETF-supported training and knowledge-sharing activities led to a notable improvement in BSA staff's understanding of modern supervisory and regulatory practices**, thereby enhancing their capacity to apply these approaches more effectively.

Pillar III

56. **The overarching objective of this pillar was to establish tools, powers and mechanisms that allow the Vietnamese authorities to:** (i) resolve the accumulated stock of NPLs and (ii) address weaknesses in banks which show signs of impending problems and resolving insolvent banks. The PDO Indicator is improved VAMC's capacity to resolve NPLs and lead the bad-debt market.

57. **Activity 6. Strengthening VAMC's governance and operational framework.** Significant progress was

made to support the VAMC's issuance of new standards on business valuation, an NPL asset valuation policy manual as well as an internal procedures manual on the management and disposition of NPLs. In general, VAMC staff are now equipped to fulfill their mandate.

58. **However, the VAMC was unable to carry forward or otherwise adopt the temporarily enhanced legal powers as first laid out in Resolution 42** (now expired) which had enabled more efficient execution on collateral, conduct out of court debt restructurings and provide for asset title transfers. Moreover, as detailed below, the overall insolvency framework remains insufficiently updated to support VAMC in achieving its NPL disposition or restructuring objectives.

59. **Activity 7. Non-Performing Loans (NPLs) Trading Market**. Overall, upgrading the governance and management of NPLs materially advanced under the project. Progress was made on the Electronic Debt Trading Platform (EDTP), though both the NPL market and EDTP remain in their infancy[20]. The recent EDTP diagnostic review provided by the Project identified several key improvements to make the platform more user friendly in the short term.

60. **Additionally, the Project reviewed VAMC's longer-term plans to align its platform with international good practices**, elements of which have been incorporated into the forward-looking sections of its Annual Report, which summarizes past achievements and outlines future priorities.

61. **In 2024, the VAMC offered NPLs and collateralized assets through 12 auctions, none of which were successful.** This was reportedly due to the seller's unwillingess to accept bids well below their asking price, as doing so would have required recognizing substantial losses. Additionally, only a small portion of VAMC's NPL portfolio was restructured or re-scheduled. However, the EDTP, in its current configuration, does *not* reflect international good practice, particularly with respect to, *inter alia*, a fully automated sale process, the comprehensiveness of data provided, and the ability to conduct online auctions.

62. **More broadly, significant external obstacles continue to hinder the development of an efficient market for NPLs.** While technology platforms such as the EDTP can contribute to market efficiency, their effectiveness ultimately depends on the removal of key legal and regulatory barriers. These include the need for a strong creditor rights framework (currently being addressed by the IFC), adequate disclosure of information, the adoption of good practices in accounting and asset valuation to narrow bid-offer spreads, an effective framework for asset transfers, and a conducive tax regime that facilitates such asset transfers.

63. **VAMC is aware of these challenges and is taking steps to address those that fall within its mandate.** However, the development of a fully functioning NPL market will require VAMC not only to continue championing essential legal and regulatory reforms which support the NPL market, but also to adopt a more proactive approach in promoting the EDTP to both sellers and investors[21].

64. **Activity 8. Bank Recovery Strategy.** The second portion of the VAMC's PDO, focused on addressing weaknesses in banks and resolving insolvent banks, was transferred to Pillar I. This shift better ensures

[20] At end-2024, the VAMC's functioning electronic debt trading platform (EDTP) had 231 registered users. The nascent platform offered about 2,200 NPLs for sale with a book value of VND 23.3 billion (or about USD $1 million) and almost 600 collateral assets acquired by the VAMC. However, less than half of the latter categories have been subject to a detailed evaulation necessary to support potential customer investment decisions.
[21] https://sbvamc.vn/trang-chu

that these objectives are reflected in the forthcoming amendments to the LCI or SBV laws, wherein several bank supervision, regulation and resolution related powers are to be enhanced with further law amendments.

Key achievements of the RETF in Pillar III

65. **The RETF funded a series of activities aimed at enhancing VAMC staff 's understanding of newly proposed practices and standards for NPL valuation, management and resolution**. These activities included: (i) Training sessions on secured transactions and lectures on collateral transfer; (ii) Training on real estate appraisals; (iii) Support for the development of a debt buying and selling mechanism to facilitate the launch of a (bad) debt trading market; (iv) A study tour to one of Asia's largest NPL sellers, providing VAMC staff with the opportunity to exchange experiences on building and operating a debt trading market; and (v) Training in consulting and brokage skills to support the introduction of the EDTP.

66. **These RETF-supported activities played a key role in equipping VAMC staff with essential knowledge of international best practices for NPL preparation and sale.** Given that most staff had limited prior experience in this specialized area, these initiatives were critical in building foundational capacity to support the development of a new NPL market in Viet Nam.

Pillar IV

67. **The objective of this Pillar was to strengthen macroprudential oversight to identify and mitigate systemic risks emanating from the financial sector.** The PDO Indicator is Monetary and Financial Stability Department (MFSD) strategy and action plan being implemented.

68. **Activity 9. Monetary and Financial Stability Department (MFSD) Strategy and action plan.** Despite extensive discussions within the SBV as well as written recommendations and international examples provided, Viet Nam has yet to adopt a formally designated macroprudential authority with clear policy goals necessary to oversee financial stability.

69. **Nevertheless, progress in strengthening MFSD's analytical and operational capacity during the Program has been notable.** At a broad level, MFSD staff now have a solid understanding of the goals and methods to monitor financial stability. Specifically, the MFSD has developed an internal platform for monitoring financial system risks and broader economic implications.

70. **The MFSD has proactively conducted stress testing, heat maps, and network linkage analyses to support risk assessment activities.** Under the Project, experts have assisted the Department in reviewing the database necessary for implementing macroprudential supervision, assessing interlinkages within the financial sector, and proposing a stress testing model to support risk assessment.

71. **In addition, substantial technical progress has been made under this Pillar through the development of guidelines on countercyclical capital buffer (CCyB), loan-to-value ratios (LTV), and debt service-to-income ratios (DSTI).** Technical work has also advanced in several supporting areas related to financial stability.

72. **Activity 10. Systemic Risk Framework.** Building on the MFSD's efforts to: (i) map critical components of the formal and informal financial system; (ii) identify the interconnectedness of key financial sector and the real economy actors, along with systemic risk transmission channels; and (iii) determine the required information, sources, and alternatives where preferred data is unavailable - the Project team provided several relevant reports to help strengthen the systemic risk analysis framework.

73. **With support from the Project team, the quality of MFSD's Systemic Risk Survey has improved.** Its scope and target respondents have expanded beyond the banking sector. Currently conducted on a semi-annual basis for credit institutions, the survey serves as a valuable tool for MFSD to inform its assessments and policy recommendations to the senior management of the SBV.

74. **Activity 11. Stress Testing Models and Early Warning Indicators.** The MFSD was introduced to various stress-testing models taking into account factors such as data availability and staff capacity. MFSD and other relevant departments participated in a training session to support the transfer of these models. However, due to limited data availability at the time of the training, a standardized model for implementation has not yet been established.

75. **Activity 12. Systemic Risk-Related Reports.** A key achievement of the Project has been the institutionalization of the SBV's Financial Stability Reports, which have been produced annually since 2022, with redacted versions made publicly available[22]. These reports represent an important tool for enhancing transparency in the financial sector and the broader economy.

76. **However, unforeseen developments occurred in 2023 which resulted in limited additional work under the Program,** as the SBV announced the merger of the MFSD with its Forecasting and Statistics Department. The effective completion of the merger of two departments in 2025 brings the SBV closer to the good practices of modern central banks.

77. **In summary, Viet Nam faces a pressing need to formalize its macroprudential framework by designating an authority (or authorities) responsible for overseeing broader financial stability.** Viet Nam needs an institutionally designated macroprudential authority with clear policy goals, underpinned by strong legal and institutional foundations. This could be realized if the SBV law draft is amended accordingly and passed by the National Assembly (Pillar I).

Key achievements of the RETF in Pillar IV

78. **To raise awareness among SBV and other relevant Government officials about the crucial need for a macro-prudential authority (or authorities), the RETF supported the following activities:** (i) Capacity-building activities for SBV officials on the development and use of prudential tools such as the LTV, CCyB and other similar ratios; (ii) A workshop sharing international experiences in the use of macro-prudential tools; (iii) A workshop with the MFSD to support the development of its strategy for monitoring and mitigating emerging risks; (iv) Specialized workshops in both Northern and Southern Viet Nam on financial stability-related issues; (v) A series of seminars on the development of a macro-prudential manual; and (vi) A study tour was organized to provide insights into other countries' experiences with macro-prudential supervision, financial stability frameworks, and the policies and tools they employ.

[22] The 2024 Financial Stability Report is currently under preparation.

79. **These RETF- supported activities played a key role in enhancing the understanding of SBV staff and other stakeholders regarding the importance of establishing a sound macro-prudential legal framework.** They also emphasized the benefits of adopting ratio-based thresholds and developing an annual financial stability report.

B. OVERALL OUTCOME RATING

Moderately Unsatisfactory (MU)

80. **The Overall Outcome Rating for the Project is assessed as Moderately Unsatisfactory (MU).** Despite the substantial TA outputs provided to support the SBV in modernizing bank supervision and regulation – such as reports, supervisory manuals, draft law and regulatory amendment recommendations, lectures, and comparative country analyses – there remains a significant asymmetry between efforts and results.

81. **The development objective of the VBSSD was to strengthen the soundness and development of the banking sector through four inter-linked pillars, primarily by enhancing the capacity of the SBV to address structural weaknesses.** While institutional capacities have clearly been enhanced, only a limited number of concrete outcomes contributing to the project's development objective have been realized across the four Pillars. To date, key provisions of the law have not been amended, nor have supervisory processes or regulations been modernized to the extent initially envisaged under the four pillars.

C. OTHER OUTCOMES AND IMPACTS

82. **Although implementation has lagged in several areas, SBV has rightly emphasized that its capacity to address structural weaknesses in the banking system - through enhanced supervisory practices and improved regulatory knowledge among staff - has been significantly strengthened** as a result of the Project. This improvement is evident in the progress made across the four pillars and is further corroborated by the SBV's numerous requests for additional technical inputs, as outlined in Annex 8.

83. **It is also noteworthy that, rather than returning the unused funds from the RETF component to the donor at the conclusion of the Project, as is typically done, these funds were instead re-deployed under the BETF.** This decision ensured their more effective use to address the additional TA requested by the SBV.

D. JUSTIFICATION OF OVERALL OUTCOME RATING

84. **The VBSSD project was highly relevant in addressing a defined sub-set of gaps identified in the 2014 FSAP.** However, the implementation and take-up of project deliverables has lagged considerably, as outlined below:

- **Pillar I** was partially achieved with the National Assembly's passage of some of the envisaged LCI amendments.

- **Pillar II** saw only modest progress, with relatively few regulatory and supervisory reforms formally implemented.

- **Pillar III** achieved several key results, improving the VAMC's capacities, internal processes, governance, and debt trading platform. However, the VAMC remains burdened by a weak and protracted collateral recovery regime, which significantly hampers its ability to realize value from NPLs in a timely manner.

- **Pillar IV** saw the adoption of several key technical components for monitoring financial stability by the SBV, and the preparation of its first financial stability reports. However, no legal framework exists to empower the SBV to monitor and mitigate financial stability risks across the financial sector.

85. **Finally, the asymmetries between the scope of the BETF deliverables and the RETF's supportive training activities, compared to the actual outcomes achieved, have been widely recognized.** This indicates that both the TA provider and the recipient may have underestimated the absorptive capacity and the required authorizing environment necessary for implementing the scale of changes envisaged under the Project.

III. KEY FACTORS THAT AFFECTED IMPLEMENTATION AND OUTCOME

86. **The slower pace of reform and outcomes in the Program can be explained by the several factors:**

- **Impact of COVID-19:** The pandemic significantly disrupted project delivery and implementation for approximately two years. Key challenges included the shift to form physical to virtual missions, delays in organizing meetings, difficulties in obtaining data and feedback due to staff absences, and restrictions by lockdowns and travel limitations.

- **Legislative Delays:** Delays in the legislative process had a substantial impact on the project, particularly regarding the planned introduction of the envisaged LCI and SBV Laws to the National Assembly. Only amendments to the LCI were eventually introduced and passed, which affected Pillar I and certain aspects of Pillar IV - particularly the adoption of a new legal framework for macro-prudential supervision. Proposed SBV law reforms have yet to be introduced to the National Assembly and will require continued coordination with relevant ministries.

- **Pillar II delays:** The BSA expressed a continued preference for adopting a different approach to RBS, resulting in lengthy delays and a lack of consensus. Nevertheless, several complex framework models - for stress testing, RAM, EWS and EI - were delivered for BSA staff utilization.

- **Pillar III delays:** The development of a functioning NPL market in Viet Nam has yet to be realized, despite significant time and effort spent attempting to offer a limited number of NPLs to the market. This is largely due to the reluctance of banks and/or the VAMC to recognize the losses

inherent in selling NPLs at market value, especially given that it may take five to seven years to gain title to collateral[23].

- **Staff and Senior Management Turnover:** Over the six years of the project, the SBV experienced frequent changes in senior management and staff responsible for project implementation. This challenge was further compounded by the fact that several Deputy Governors were tasked with overseeing different segments of the BSSD's activities simultaneously, highlighting the critical need for a dedicated champion within SBV senior management.

A. KEY FACTORS DURING PREPARATION

87. **The four pillars of the Program were closely aligned with a sub-set of recommendations from the 2014 FSAP findings and key components of the 2020 - 2025 Banking Sector Strategy,** as promulgated in Decision No. 986 by the Prime Minister in 2018. This high-level public strategy provided strong policy foundations for the VBSSD program, enabling a broad array of TA deliverables aimed at enhancing the banking supervisory and regulatory regimes.

88. **To ensure effective implementation, the Program prioritized and front-loaded many deliverables to lay a solid foundation for the agreed-upon reforms.** The World Bank mobilized a team of highly skilled international professionals, each an expert in their respective fields, to support the SBV in strengthening the soundness and development of the banking sector. Work began promptly after the agreement in late 2018.

B. KEY FACTORS DURING IMPLEMENTATION

89. **The Program delivered a broad range of written recommendations and training inputs across the four pillars to support the strengthening of the soundness and development of the banking sector.** These were generally well-received by SBV counterparts. However, policy disagreements emerged on several key issues, including the extent to which supervisors should exercise individual judgment under a risk-based supervision framework, the adoption of an early warning system, the legal basis for financial stability monitoring across the entire financial sector, and the adoption of key recommendations for revising the LCI and SBV laws.

90. **The COVID-19 pandemic had a significant impact on both SBV and the project team operations beginning in March 2020, disrupting travel and limiting staff availability.** This led to delays in the delivery of several TA activities and reduced the effectiveness of interactive training sessions. Additionally, the shift to virtual engagements constrained the ability to conduct meaningful policy dialogue or reach consensus on proposed actions, as video conferencing proved an inadequate substitute for in-person discussions.

91. **By late 2019, the cumulative effect of implementation challenges had begun to weigh heavily on project progress.** These were further compounded by prolonged internal authorizations processes

[23] Decision 42, which provided banks and the VAMC with expedited mechanisms to seize collateral, expired in 2022, five years after its issuance in 2017.

within SBV, particularly those required for the sharing of bank-specific financial data with the VBSSD team. Moreover, the absence of a timely and effective mechanism within the Core Implementation Group (CIG) to resolve technical issues - or to address broader policy, implementation, and data access concerns at the TMA level - further impeded progress.

92. **Notably, the TMA met only twice during the first four years of the project, limiting the WB team's ability to engage with SBV senior management on key policy matters.** The team's restricted access to senior leadership hindered essential signaling and resolution. Encouraging, however, following the mid-term report's recommendation for more regular engagement, the TMA convened three additional meetings by late 2024.

93. **Finally, for much of the Program's duration, the SBV had not appointed a Director General to lead the MFSD (Pillar IV)**. This leadership gap hindered collaboration between the Project team and MFSD staff in reaching consensus on how macro-financial stability supervision should be organized, underpinned by legal frameworks, and effectively implemented. In 2025, the MFSD was merged into the SBV's Forecasting and Statistics Department.

94. **Importantly, SBV staff continued to consider and integrate TA inputs provided under the project and actively sought additional guidance across all four pillars.** However, many of the intended outcomes envisioned of the TA program have yet to be fully realized[24].

IV. BANK PERFORMANCE, COMPLIANCE ISSUES, AND RISK TO DEVELOPMENT OUTCOME

SBV Commitment and Institutional Arrangements

95. **Building on the FSAP findings and recommendations, as well as the Government's publicly announced 2020-25 banking sector strategy, the SBV demonstrated strong early commitment to seeking external inputs to strengthen the soundness and development of the banking system.** Project deliverables were accordingly front-loaded. However, while the implementation of agreed reforms proceeded in policy disagreements arose, especially within Pillar II, and the introduction of amendments to two key laws was delayed (Pillar I), the implementation of agreed reforms across many aspects of the Program was impacted.

96. **Oversight arrangements at the SBV for the Project proved insufficient, primarily due to the *ad hoc* nature of the Tri-Partite Meeting Arrangement (TMA).** The TMA was intended to serve as a regular forum for reviewing progress and resolving implementation issues across the project's four pillars. However, this arrangement was not effectively operationalized in the initial years of the program, which negatively affected project outcomes. The limited number of meetings made it difficult to raise unresolved issues in a timely manner or to ensure follow-through on necessary actions.

97. **Moreover, for much of the Program's duration, the Director General position responsible for overseeing the MFSD (Pillar IV) remained vacant.** This leadership gap hindered the team's ability to reach the necessary policy and technical consensus with MFSD on how macro-prudential supervision

[24] For example, modern, least-cost bank resolution powers, a robust macro-prudential legal framework, indemnification of SBV supervisory staff, the introduction of Risk-Based Supervision, a better functioning VAMC debt platform, etc.

could be organized, legally supported, and implemented. Both of these crucial matters were fully within SBV's control and had been the subject of several formal requests for engagement with senior management.

98. **The SBV utilized its International Cooperation Division to serve as a Project Management Unit (PMU), through which the RETF portion of the trust fund was actively managed to support the realization of Project outcomes.** The Program TTLs and staff liaised regularly with the PMU, which organized, minuted, and followed up on the TMA meetings, providing a consistent approach to overall project management.

Quality of Supervision

99. **Over the six-year period from September 2018 to 2024, the World Bank team conducted more than 20 missions under the VBSSD program, delivering approximately 100 technical papers, training sessions, and legal/regulatory reviews.** Each mission concluded with an Aide Memorie submitted to the SBV, summarizing progress, highlighting areas of concern, and outlining proposed next steps. To facilitate high-level oversight, the team also prepared detailed Annual Reports for SECO, documenting achievements, disbursements under the BETF and RETF by Pillar, identifying remaining gaps, and setting out proposed timelines for the upcoming year's activities.

100. **The program's timeline and the sequencing of BETF-funded missions and deliverables were regularly adjusted in close consultation with SBV counterparts to ensure responsiveness to evolving needs.** In parallel, RETF-supported staff orientation, training sessions and study tours were organized to build technical capacity within SBV and, where relevant, among other government stakeholders. To promote alignment and facilitate coordination with broader financial sector reforms, the Project team maintained regular engagements with other development partners active in Viet Nam's financial sector, including the IMF, ADB, IFC, and SECO, all of whom had direct access to SBV leadership.

101. **Over time, the visibility of the financial sector reform efforts increased, including through references on the SVB's official website**[25]. The WB's collaboration with the Economic Commission of the National Assembly (ECNA) on the proposed revisions to the LCI was highlighted in national media. SECO's support to the EDTP and broader program activities was also acknowledged publicly, including at the International Public Asset Management Companies Forum held in September 2023.

[25]https://www.sbv.gov.vn/webcenter/portal/en/home/fm/timkiem?SearchInput=World%20Bank&_afrLoop=15867832841009755#%40%3FSearchInput%3DWorld%2BBank%26_afrLoop%3D15867832841009755%26centerWidth%3D80%2525%26leftWidth%3D20%2525%26rightWidth%3D0%2525%26showFooter%3Dfalse%26showHeader%3Dfalse%26_adf.ctrl-state%3Dri1djz744_140

V. LESSONS AND RECOMMENDATIONS

102. Key lessons and Recommendations include:

- **The scope of the VBSSD project proved overly ambitious relative to the SBV's authorizing environment and institutional capacity to absorb reforms.** The scale of Project deliverables was disproportionate to the outcomes ultimately realized.

- **The TMA was ill equipped to address the scale of data, policy, and implementation challenges faced by the Project team owing to its rigid structure and infrequent meetings.** More regular access to SBV senior management, the appointment of a dedicated SBV focal point, and/or a more flexible TMA arrangement could have helped mitigate many of the complex policy and implementation related issues that arose.

- **The prolonged absence of a Director General for the MFSD significantly hindered progress,** particularly by leaving the team unable to reach consensus on a proposed macro-financial stability framework. This underscores the importance of ensuring dedicated oversight for critical Project components.

- **VAMC's mandate and ability to execute NPL sales were constraint by two key factors that could have been better anticipated at the Project's outset**. First, a systemic reluctance to recognize losses at the point of NPL sale – driven largely by a slow and inefficient collateral execution regime – resulted in depressed asset pricing. Second, the limited five-year duration of Decision 42 (issued in 2017) could have been more strategically aligned with IFC's ongoing efforts to strengthen creditor rights.

- **Looking ahead, future TA programming should be more targeted and agile, with the appointment of an accessible, high-level champion to help address key policy or technical issues as they arise.** Additionally, considering the high transaction costs associated with setting up stand-alone RETFs[26] - and the fact that over 60 percent of RETF funds were redeployed through the more efficient BETF mechanism – future engagements should prioritize the use of BETF as the primary funding instrument, given its comparative efficiency.

[26] Including the establishment of a Project Implementation Unit to meet environmental & social, fiduciary, and procurement requirements as well as for regular reporting and ICR preparation.

ANNEX 1. RESULTS FRAMEWORK AND KEY OUTPUTS

A. RESULTS FRAMEWORK

PDO Indicators by Outcomes

Not Categorized								
Indicator Name	Baseline		Closing Period (Original)		Closing Period (Current)		Actual Achieved at Completion	
	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year
A draft revision of the Credit Institution Law (Yes/No)	No	Jun/2019			Yes	Dec/2023	Yes	Jan/2024
BSA operational capacity strengthened according to the essential criteria of the respective BCPs (BCP 8, 9 risk-based supervision) (Yes/No)	No	Jun/2019			Yes	Oct/2024	No	Oct/2024
Improved VAMC's capacity to resolve NPLs and lead the bad-debt market (Yes/No)	No	Jun/2019			Yes	Oct/2024	Yes	Oct/2024
	Comments on achieving targets		VAMC's capacity has significantly strengthened. However, the bad-debt market is still in its early stages (see p. 13 of the ICR text, activity #6).					
Monetary and Financial Stability Department (MFSD) strategy and action plan being implemented (Yes/No)	No	Jun/2019			Yes	Oct/2024	No	Oct/2024
	Comments on achieving targets		While SBV did not have a formally designated micro-prudential authority, significant progress has been made in strengthening the MFSD's analytical and operational capacity.					

Intermediate Indicators by Components

Not Categorized								
Indicator Name	Baseline		Closing Period (Original)		Closing Period (Current)		Actual Achieved at Completion	
	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year

Report on the assessment of the Credit Institution Law (Yes/No)	No	Jul/2019			Yes	Jul/2020	Yes	Aug/2022
Risk-based supervision gap analysis report (Yes/No)	No	Jul/2019			Yes	Jul/2020	Yes	Aug/2022
Training courses for VAMC staff on collateral valuation (Yes/No)	No	Sep/2018			Yes	Jul/2020	Yes	Aug/2022
Assessment and action plan for the improvement of quality and accuracy of macro prudential data (Yes/No)	No	Sep/2018			Yes	Jul/2021	Yes	Aug/2022

B. KEY OUTPUTS

PDO Indicators	1. Inputs for revision of the Law Credit Institution Law 2. BSA operational capacity strengthened according to the essential criteria of the respective BCPs (BCP 8, 9 risk-based supervision) 3. Improved VAMC's capacity to resolve NPLs and lead the bad-debt market 4. Monetary and Financial Stability Department (MFSD) strategy and action plan being implemented
Key Outputs (linked to the achievement of the PDO Outcome)	1.Amended LCI passed by National Assembly, effective 2024 2.Ratio thresholds adopted and frameworks for RAM, EWS and EI provided 3.VAMC internal processed strengthened and EDTP launched 4.MFSD developed platforms for stress testing, monitoring and published FSRs
Intermediate Results Indicators	1. Report on the assessment of the LCI provided 2. Risk-based supervision gap analysis report and initial prudential ratios delivered for MFSD consideration 3. Training courses for VAMC staff on collateral valuation, policy manual adopted 4. Assessment and action plan for the improvement of quality and accuracy of macro prudential data
Key Outputs (linked to the achievement of the Component)	1. Gap assessment of LCI law provided in 2020 2. RBS analysis and comparative countries study provided 3. Trainings, comparative papers, valuation methodologies, etc. provided 4. Financial stability reports published 2022 forward (redacted versions)

ANNEX 2. PROJECT COST BY COMPONENT

Disbursement Summary of the VBSSD Trust Fund by Pillars as of 31 October 2024 (USD)

Pillar	FY19	FY20	FY21	FY22	FY23	FY24	FY25 TO DATE	Total
I.	263,451	181,656	66,973	48,849	161,320	132,397	0	**854,646**
II.	210,203	354,583	217,091	186,038	223,756	456,635	827,441	**2,475,747**
III.	291,526	448,992	153,634	105,563	180,247	164,255	0	**1,344,217**
IV.	263,089	199,697	108,472	85,039	175,678	94,607	61,038	**988,119**
Total BETF Used	1,028,269	1,184,928	546,170	425,489	741,001	847,894	888,479	**5,662,729**
Total RETF Used			120,000	282,547	289,610	427,747	223,904	**1,343,808**
Total Disbursement	1,028,269	1,184,928	666,170	708,036	1,030,611	1,275,641	1,112,383	**7,006,537**

ANNEX 3. RECIPIENT, CO-FINANCIER AND OTHER PARTNER/STAKEHOLDER COMMENTS

COMMENTS OF THE STATE BANK OF VIETNAM (SBV) ON THE WORLD BANK'S IMPLEMENTATION COMPLETION REPORT (ICR) FOR THE BSSD PROJECT

1. General Comments

The SBV highly appreciates the technical assistance provided to the banking sector and the SBV through the BSSD Project.

- Under the BSSD Project, the reports, assessments, and recommendations provided by WB experts are independent and advisory in nature. These are non-binding and do not entail any commitment by the SBV or Vietnamese authorities to amend or promulgate domestic regulations or laws.
- Regarding the approach of the ICR: The primary purpose of the ICR is to evaluate the activities implemented and the results achieved against the project's initial objectives, to identify challenges and difficulties encountered during implementation, and to make recommendations to ensure the project's sustainability and development in the future. It should not focus on in-depth analysis of the SBV's specialized contents. For example, in the context of the revision of the Law on Credit Institutions (LCI), the report makes several substantive remarks, such as stating that the LCI does not fully provide for consolidated supervision; that it does not fully comply with certain Basel Core Principles and FSB Key Attributes; and that it does not provide the SBV with sufficient authority to supervise financial conglomerates. We therefore recommend that the approach and evaluation be revised to align more appropriately with the objectives and nature of an ICR.
- Regarding certain subjective assessments, such as the assertion that the prolonged vacancy of the Director General of the Financial Stability Department significantly impacted the project's progress, or that Vietnam has yet to establish an official macroprudential authority with clear policy mandates for financial stability supervision, we note that these issues have been repeatedly addressed and disagreed with by the former Monetary and Financial Stability Department, relevant SBV departments, and the Project Management Unit (PMU) Director. These matters are internal to the SBV and depend on multiple factors beyond the control of the SBV. For example, the establishment of a macroprudential authority is not under the SBV's authority but rather that of the Government. Additionally, Vietnam is currently undertaking administrative streamlining, including the merger of the NFSC. Therefore, such factors should not be considered as reasons affecting the project's implementation results.
- On project design: From the outset, the WB should have closely coordinated with the SBV's relevant departments to accurately assess the needs, and thereby design a support roadmap aligned with the SBV leadership's directions and the sector's development. This would help enhance efficiency and ensure successful project implementation.
- Regarding the design of project outputs: It is important to maintain flexibility in defining project outputs, and not to set outputs as requirements for the issuance or amendment of laws and regulations, given the complexities of Vietnam's legal drafting processes and the fact that such decisions lie with the Government and National Assembly. Recommendations from international experts should be presented in the form of advisory reports and experience

sharing. Furthermore, to ensure the effectiveness of programs and projects, it is necessary to have flexibility in planning and in defining output formats, which should not be limited solely to reports.

- On consultants:

+ Understanding and grasping Vietnam's specific issues require time and in-depth research. Currently, there remains a divergence in viewpoints between consultants and the beneficiary, leading to certain recommendations that do not fully meet the expectations of the technical departments. International experience studies and expert recommendations must be tailored to Vietnam's context to ensure feasibility in application.

+ There should be involvement of domestic consultants to support implementation, as the departments responsible for technical components often have heavy workloads. The engagement of domestic consultants would help reduce the burden on these departments, while ensuring continuity and relevance to the local context during project implementation.

- During project implementation: Technical assistance projects often take considerable time from preparation to approval. Therefore, upon implementation, certain initially designed activities may no longer align with actual needs. The donor should allow for timely flexibility and adjustments to meet the practical requirements of technical departments, and adapt to changes in conditions, context, functions, and mandates of the SBV, so as to maximize project effectiveness.

- Regarding coordination mechanisms between parties: There needs to be greater flexibility in the tripartite consultation mechanism (SBV/WB/SECO), as in many cases, certain activities require early consensus to ensure feasibility in implementation and related logistical arrangements. Furthermore, throughout implementation, there should be close coordination and active participation of all stakeholders, including the PMU, technical departments, and the donor, to ensure progress as planned. Maintaining an effective communication channel with the participation of senior leadership is necessary to promptly provide direction and guidance as needed.

- Regarding the statement *"Additionally, considering the high transaction costs associated with setting up stand-alone RETFs - and that over 60 percent of the RETF funds were ultimately redeployed through the more efficient BETF mechanism – future engagements should prioritize the use of BETF as the primary funding instrument, given its efficiency advantages."*

We propose removing this assessment as it is rather subjective and lacks persuasive evidence or data. Reasons are as follows:

+ The PMU was established to support project implementation. Its members are mobilized from relevant SBV units working concurrently, with allowances paid by the SBV, which are not significant. The allocation between BETF and RETF sources was agreed upon and divided into two separate but complementary sources to support different activities under the project, in line with the project's overall objectives. Based on the strengths of each source, BETF is used to cover costs of international and domestic consultants, project management, contingencies, etc., while RETF is used to cover financial management costs, salaries for consultants supporting the PMU, monitoring and implementation, communication, workshops, surveys, translation, and domestic and international training, etc. Therefore, the above assessment should be reconsidered as the division into BETF and RETF reflects the project's nature and the needs of both parties.

+ Additionally, during implementation, the SBV did transfer part of the RETF to BETF to continue activities such as engaging consultants and conducting surveys. However, in practice, the implementation of these activities remained limited.

2. Comments on pillars

2.1. Pillar 1

(i) Regarding the assessment content of Pillar 1, Section A, Part I:

- It is recommended to clarify the legal mandates and legal instruments that remain insufficient in the assessments, specifically regarding the fact that the current Law on Credit Institutions does not fully grant the State Bank of Vietnam (SBV) adequate legal authority; nor does it provide sufficient legal tools necessary for the SBV to supervise credit institutions in line with Basel Principles and international practices. The assessment should be positioned within the overall organizational structure of the Government, including mandates, functions, and responsibilities of ministries and ministerial-level agencies.
- Additionally, it is recommended to supplement the assessment with content concerning the Law on Credit Institutions, which was submitted to the National Assembly for approval at the 9th session of the 15th National Assembly. The Law includes provisions on granting the SBV legal authority to provide liquidity support to credit institutions facing difficulties (through special lending).
- It is recommended to review the statement that " Viet Nam is exposed to a major risk that the SBV will be unable to respond effectively to the failure or acute distress of credit institutions. Because of the inadequate legal powers (coupled with a lack of resolution policies and practices within the SBV), this would be to the detriment of depositors, other users of the financial system, the stability of the financial system, and the economy. Furthermore, the lack of sufficient resolution powers and the existence of the special loan provisions in the LCI also expose the government to major fiscal risk." Any such assessments should be substantiated with clear evidence and justification.

(ii) Part II and Part III:

Regarding the assessment that the delay in submitting the draft amendments to the Law on Credit Institutions and the SBV Law into the National Assembly's legislative program as initially planned has affected the overall schedule, reducing effectiveness and impacting the project's progress:

- The SBV's implementation of assessments, legal reviews, and proposals for inclusion in the National Assembly's legislative program depends on the outcomes of the legal review and assessment process.
- Additionally, the inclusion of the law into the National Assembly's legislative program does not solely depend on the SBV but must also be thoroughly assessed in coordination with relevant ministries, sectors, and agencies.

Therefore, it is recommended to remove the above assessment when its legal and practical basis cannot be clearly substantiated.

2.2. Pillar 2

- Page 1 of the draft – Data on the number of commercial banks:
We propose revising the figure to 35 commercial banks, including 4 state-owned commercial banks and 31 joint-stock commercial banks[27].
- Page 11 of the draft – Activity No. 4 – Update of supervision and inspection methods towards risk-based supervision (RBS):
We recommend revising the statement here to: *"The Project team had extensive discussions with the staff of the Banking Supervision Agency but was unable to reach a consensus on the methodology for implementing risk-based supervision (RBS)."*
Reason: Regarding RBS, the project experts developed the Risk Assessment Methodology (RAM1), which the Banking Supervision Agency previously piloted. However, the pilot results showed that the methodology had several shortcomings. The Banking Supervision Agency repeatedly requested adjustments to the methodology and provided detailed assessments of RAM1's shortcomings to the experts. Therefore, the lack of consensus here pertains to the methodology itself, not to the implementation of risk-based supervision as stated in the current wording.
- Appendix 7: We recommend updating the contents to reflect the support activities for the project extension period through October 2025.
- Annex 5: It is proposed that the World Bank review and have consistency on the timing for determining total assets and charter capital (specifically, whether it should be the point in time prior to the merger/restructuring). Accordingly, it is requested that the World Bank revise the data presented in Annex 5 to ensure accuracy, and at the same time, cite the data sources to ensure the reliability of the figures.

2.3. Pillar 3

Issue	Comments by FSMFSD
Activity 9 – page 13 **"**With inputs from the Project, the MFSD has introduced analytical tools – such as stress testing, heat maps, and network interlinkages – to support risk assessment"	*Proposed revision:* The Department of Monetary and Financial Stability (MFSD) has proactively conducted stress testing, heat maps, and network linkage analysis to support risk assessment activities. Within the framework of the project, the experts have assisted the Department in reviewing the necessary database for implementing macroprudential supervision, assessing interlinkages within the financial sector, and proposing a stress testing model to support risk assessment.

[27] Data from the State Bank's Electronic Information Portal as of December 31, 2023.

In addition, substantial progress has been made in the technical aspects of this Pillar through the development and utilization of guidelines on countercyclical capital buffer (CCyB), loan to value ratio (LTV) and debt service to income ratios (DSTI). At a technical level, work continued successfully in a number of supporting financial stability related areas.	Please delete "and utilization".
Activity 10 – p. 14	
Activity 10. Systemic Risk Framework. Activities under this component have been advanced to tailor an analytical framework for financial system risk assessment through: (i) mapping of the critical elements of the formal and informal financial system; (ii) identifying the inter-connectedness of key actors in the financial sector and the real economy and transmission mechanisms of systemic risks; and (iii) identifying needed information needs, sources and alternatives where preferred information is unavailable. This has fed into the following two activities.	*Proposed revision:* Based on the work carried out by the MFSD regarding: (i) mapping of the critical elements of the formal and informal financial system; (ii) identifying the interconnectedness of key actors in the financial sector and the real economy and the transmission mechanisms of systemic risks; and (iii) identifying required information, sources, and alternatives where preferred data is unavailable, the World Bank experts have provided a number of relevant reports to strengthen the systemic risk analysis framework. *Add this content on systemic risk survey:* With the support of World Bank experts, the quality of the Systemic Risk Survey developed by the MFSD has been improved; the scope and target respondents have been expanded beyond the banking sector. Currently, the systemic risk survey is conducted on a semi-annual basis for credit institutions as well as experts both within and outside the financial sector. The survey serves as a valuable basis for MFSD to provide assessments and policy recommendations to the senior management of the State Bank of Vietnam.
Activity 11 – p.14	
Activity 11. Stress Testing Models and Early Warning Indicators. The MFSD was introduced to different stress-testing models that could be used, considering data availability, staff capacity, etc. A stress testing model was then chosen, wherein simulations, pilots and then live exercises undertaken. As a result, MFSD staff capacity has been significantly enhanced,	*Proposed revision:* MFSD was introduced to a model considered as "a model belonging to the next generation of macroprudential stress testing tools." MFSD and several relevant departments participated in the training session for model transfer. However, due to insufficient data available during the training, the experts were unable to build a tailored model for MFSD, and thus a

enabling them to operate and update the model going forward.	standardized model for application is not yet in place.
Key achievements of the RETF in Pillar IV – p.14	
(vi) A study tour offering insights into the experiences of other countries with macro-prudential supervision, financial stability frameworks, and the policies and tools they use.	This content is proposed to be removed as it has not yet been implemented.
KEY FACTORS DURING IMPLEMENTATION – p.17	
Finally, for much of the Program's duration, the SBV had not appointed a Director General to lead the MFSD (Pillar IV). This leadership gap hindered efforts to reach consensus on how macro-financial stability supervision should be organized, legally supported, and implemented. In 2025, the MFSD was merged into the SBV's Forecasting and Statistics Department.	It is proposed to consider removing this assessment, as during the project implementation period, MFSD has continued to effectively perform its assigned functions and duties under the direction of the Deputy Director in charge of the department, as mandated by the Governor.
Section IV - BANK PERFORMANCE, COMPLIANCE ISSUES, AND RISK TO DEVELOPMENT OUTCOME – p.18	
Moreover, for much of the Program's duration, the position of the Director General responsible for overseeing the MFSD (Pillar IV) remained vacant. This vacancy hindered the team's ability to reach a consensus on how macro-prudential supervision could be organized, legally supported, and implemented. Both of these crucial matters were fully within the control of the SBV and had been the subject of several formal requests to access senior management.	It is proposed to consider removing this assessment, as during the project implementation period, MFSD has continued to effectively perform its assigned functions and duties under the direction of the Deputy Director in charge of the department, as mandated by the Governor.
Section V - LESSONS AND RECOMMENDATIONS – p.19	
The prolonged absence of a Director General for the MFSD hindered progress, leaving the team unable to reach consensus on implementing a suitable macro-financial stability framework. This underscores the importance of ensuring dedicated oversight for critical Project components.	It is proposed to consider omitting this assessment, as during the project implementation period, MFSD has consistently fulfilled its assigned functions and duties effectively under the guidance of the Deputy Director in charge, in accordance with the Governor's mandate.

Annex 1. Section A p. 21 While SBV did not have a formally designated micro-prudential authority, significant progress has been made in strengthening the MFSD's analytical and operational capacity.	*Proposed adjustment:* While SBV did not have a formally designated macro-prudential authority, significant progress has been made in strengthening the MFSD's analytical and operational capacity.
Annex 1. Section B p.23 4. Monetary and Financial Stability Department (MFSD) strategy and action plan being implemented.	*Proposed adjustment:* MFSD drafted this strategy, and the World Bank experts provided a review report on the strategy. However, as the financial stability function has not yet been codified in the Law on the State Bank of Vietnam, the strategy has not been implemented.
Risk-based supervision gap analysis report and initial prudential ratios delivered for MFSD consideration	It is proposed to remove this content as the activity does not fall under the responsibilities of MFSD.
4. Financial stability reports published 2021 forward (redacted versions)	*Proposed adjustment:* 4. Financial stability reports published 2022 forward (redacted versions)
Annex 7. Pillar 4 Workshop on D-SIBs	It is proposed to remove this content as the activity does not fall under the responsibilities of MFSD
Activities 8 and 9 overlap, as both relate to reports on the macroprudential institutional and policy framework in Vietnam.	It is also proposed to remove one report to avoid duplication.

ANNEX 4. SUPPORTING DOCUMENTS (IF ANY)

ANNEX 5. LIST OF MERGERS AND RESTRUCTURING OF BANKS IN VIET NAM POST 2012 BANKING CRISIS

Merger	Year	Total Assets (VND trn)*	Total Charter Capital (VND trn)*	Other information
Saigon Commercial Bank (SCB), First Commercial Bank (Ficombank), and Viet Nam Tin Nghia Commercial Bank (TinNghiaBank) into a new SCB	2012	SCB: 78, Ficombank: 17, Tin Nghia: 59	SCB: 4, Ficombank: 3, Tin Nghia: 3.4	Insolvency due to excessive short-term deposits used for long-term real estate loans NPLs. BIDV provided refinancing loans under the State Bank of Viet Nam (SBV) supervision. SCB grew to be the fifth-largest bank but later became insolvent due to fraud and was placed under SBV's special control in 2022.
Hanoi Building Commercial Bank (Habubank) merged into Saigon Hanoi Bank (SHB)	2012	Habubank: 42, SHB: 71	Habubank: 4, SHB: 5	Habubank became insolvent due to a 23.7% NPL ratio and risky lending to a few major borrowers (e.g. Vinashin). SHB now has become one of 14 domestic systematically important banks.
Western Bank merged with PetroViet Nam Finance Company (PVFC) to form PVcomBank	2013	Western Bank: 16, PVFC: 90	Western Bank: 2, PVFC: 9	Western Bank faced liquidity shortages due to overdue loans to SCB and Trust Bank. PVFC was a non-bank financial company under PetroViet Nam.
Dai A Bank merged into HDBank	2013	Combined: 85	Dai A: 3, HDB: 5	
Mekong Development Bank (MDB) merged into Maritime Bank	2015	MDB: 6, Maritime: 106	MDB: 3.7, Maritime: 8	As of 2012, Maritime Bank was a large shareholder of MD Bank with 10 percent ownership.
Mekong Housing Bank (MHB) merged into BIDV	2015	MHB: 45, BIDV: 655	MHB: 3, BIDV: 28	
Southern Bank merged into Sacombank	2015	Combined: 291	Combined: 19	Both banks had significant bad debts due to fraudulent lending practices. SBV took control of shares held by key leadership.

Restructuring	Year	Total assets	Total equity	Other information
Nam Viet Bank changed to National Citizen Bank	2013	24	N/A	
Gia Dinh Bank restructured to VietCapital Bank	2011	8	2	After acquisition by VietCapital Fund. Divestment from Vietcombank
Dai Tin Bank (Trust Bank) restructured into Viet Nam Construction Bank	2011	28	3	Later became zero-dollar bank in 2015
Tien Phong Bank (self-restructured)	2012	N/A	N/A	Challenges due to accumulated loss, NPL = 6%
Zero-dollar banks and Special control banks				
	Year	**Shareholder's equity (VND trn)***	**NPL (%) in 2015**	**Acquired by**
Ocean Bank	2015	(10)	73	Military Bank - into Modern Bank of Viet Nam
Global Petroleum Bank (GP Bank)	2015	(9)	59	VP Bank
Construction Bank	2015	(24)	95	Vietcombank - into digital bank VCBNeo
Dong A Bank	2015	(25)	N/A	HB Bank - into digital bank Vikki

*Dates of the respective banks' asset and capital figures vary by institution

ANNEX 6. VBSSD FINANCIAL INFORMATION SUMMARY AS OF 10 MARCH 2025 (CHF/USD=1.04719183)

	Budget Items	Amount (CHF)	Amount (USD)
a.	Donor contribution	7,832,474	8,202,103
b.	Contribution paid-in	7,832,474	8,202,103
c.	Admin fee	105,329	110,300
d.	Disbursements (BETF + RETF)	6,690,787	7,006,537
e.	Fund Balance (including RETF) (b-c-d)	**1,036,358**	**1,085,266**

ANNEX 7. VIET NAM BANKING SECTOR SOUNDNESS - FINALIZED DELIVERABLES (2018 – 2024)

ACTIVITY	RECIPIENT	TYPE AND TITLE OF EVENT	DATE
Pillar I: Improving Legal and Regulatory Framework for NPL Resolution and Banking Sector Oversight			
1. Strengthening the legal and regulatory frameworks	**SBV Legal Dept.**	Report on selected country experiences with consolidated and group supervision.	2018
		Report on review of LCI and SBV Law amendments against **BCP**s and Key Attributes**.**	2019
		Discussion document following SBV Legal Department comments on the review of the LCI and SBV law.	2019
		Assessment of current legal framework, including Resolution 42, to determine legal obstacles to bank loan trading**.**	2019
		Review of draft of AML Law.	2022
		Findings and recommendations on law reform.	2022
		Report on central bank mandates.	2022
		Meeting (together with International Finance Corporation ("IFC") colleagues) with the ECNA on LCI revisions	2023
		Letter to SBV Governor commenting on the public version of the LCI revisions draft	2023
		Note for the SBV on *LCI revisions with respect to bank* recovery and resolution	2023
		Workshop with ECNA on draft LCI revision focusing on bank recovery and resolution (chaired by ECNA Chair and WB Country Director with attendance by SBV Deputy Governor	2023
		Letter to the SBV and ECNA commenting of LCI reform	2023
		Meeting with ECNA Vice Chair, WB Global Director, Manager, and task team	2023
		SBV shares all WB Pillar I deliverables with the ECNA	2023
		Note prepared for ECNA regarding US bank failures and lessons learned	2023
		Presentation to MOF on LCI reforms	2023

		Presentation to Mr. Luc, member of Prime Minister's Monetary and Financial Advisory Council	2023
		Discussion with SBV on key topics on LCI revision	2023
		Workshop with the ECNA, SBV, and key stakeholders, chaired by WB Country Director, ECNA Vice Chair, SECO Head of Cooperation, and SBV Director General of Legal Department	2023
		Letter to SBV Governor on key topics in the last LCI revision draft	2024
	VAMC	Report on legal mapping of impediments to resolution of NPLs in Viet Nam together with recommendations for improvements.	2020
Pillar II: Strengthening Existing Supervision Capacity at the level of individual banks to improve compliance with several BCPs			
2. **Early Warning Systems**	**BSA**	Technical paper on EWS.	2019
		EWS framework and methodology.	2020
		Initial agreement of factors and peer groups for EWS.	2020
		Workshop on EWS thresholds.	2021
		EWS Manual	2022
		EWS Statistical Manual	2022
		EWS Guidance on Implementation and Review	2022
		Training Workshops	2023
3. Early Intervention	**BSA**	Paper on EI: International standards and good practice with a proposed framework for the BSA.	2020
		Workshop to strengthen the understanding of EI for CIG and other BSA staff.	2021
		Paper entitled Risk-Based Supervision: Early Intervention Framework followed by discussion with CIG.	2021
		EI paper finalized and delivered to SBV.	2022
4. Risk Based Supervision	**BSA**	Training on RBS.	2019
		Technical paper on risk assessment models.	2019

		Gap assessment and workshop on RBS in Viet Nam.	2019
		RBS framework paper.	2020
		Impact assessment framework paper.	2020
		Workshop on impact assessment framework.	2020
		Proposed impact assessment categories.	2020
		Supervisory intensity framework paper.	2020
		Presentation to CIG on supervisory intensity framework.	2023
		Technical paper on the features of risk assessment module (RAM1) to be developed with BSA.	2020
		Initial workshop on RAM1 definition.	2020
		RAM1 workshop: risks on capital and credit risk.	2020
		RAM1 workshop: market and liquidity risks.	2020
		RAM1 workshop: management, internal control, and earnings assessment.	2020
		RAM1 risk assessment & ratings manual.	2020
		RAM1 workshop: finalization and calibration of the model.	2021
		Workshops on the review of three BSA pilot risk assessments using RAM1.	2021
		RAM1 workshop on risk appetite.	2022
		Workshop with BSA on the advanced methods of the Basel II framework.	2022
		Workshop with BSA on PD modelling	2023
		Terms of reference for a PD modelling project	2023

		Policy paper on liquidity risk management in Viet Nam	2023
		Study on Feasibility of Developing PD Model	2024
		Supervisory Gap Assessment (SGAR) Questionnaire Developed	2024
		SGAR Delivered	2024
		Corrective Action Road Map	2024
		Note on Supervisory Organizational Structure	2024
		Comments/drafting suggestions related to interest rate risk to the banking book and stress testing provisions of Circular 13/2018 on Internal Control Systems of Commercial banks and Branches of Foreign Banks	2024
Pillar III: Upgrading Management of Underperforming Assets and Weak Banks			
5. Strengthening VAMC's Capacity and Operations	**VAMC**	Valuation training: Introduction to core principles and methodology of valuation in line with international good practice (Part 1).	2019
		Valuation training: Introduction to core principles and methodology of valuation in line with international good practice (Part 2), determine market value of debt, and five site visits to apply valuation principles.	2019
		Valuation training: Introduction to core principles and methodology of valuation in line with international good practice (Part 3), analyzing cash flow and projections.	2019

		Review of comprehensive manuals on valuation and policy and procedures manual.	2019
		Workshop on business viability assessment.	2020
		Workshop on advanced financial techniques for loan restructuring.	2021
		Workshop on determining and evaluating the feasibility of handling secured assets in a real estate project.	2022
		Workshop of assessing viability of NPL borrowers and use of model to assess projected outcomes of alternative resolution strategies delivered.	2023
6. NPL Market Development	**VAMC**	Presentation on "Selected Issues for Consideration in Developing a Market for Sale of NPL's."	2018
	Banking and Financial Institutions Department of Ministry of Finance (BFID)	Survey of selected Asian countries' experiences in developing NPL trading markets.	2019
	VAMC/BFID	Note and roundtable on developing a comprehensive, coordinated approach to creating a market for NPL's.	2019
	VAMC	Paper on electronic debt trading platforms.	2022
		Presentations on legal reform and EDTP paper at RETF financed workshop on "Developing the NPL Trading Market in Viet Nam"	2022
7. Bank Recovery Strategy	**BSA**	Presentation on international standards and good practices in bank resolution at IFC sponsored bank restructuring conference.	2021
Pillar IV: Enhancing Financial Stability and Macroprudential Oversight			
8. MFSD Strategy and Action Plan	**MFSD**	Workshop and training on strategy and action plan implementing the macroprudential stability monitoring framework.	2018

		Report and workshop on macroprudential data.	2018
		Technical paper on building a bank lending and financial stability system.	2019
		Policy paper on financial stability reports.	2019
		Technical paper and workshop on interconnectedness risk in Viet Nam's financial sector.	2019
		Workshop on macroprudential policy.	2020
		Policy paper on counter cyclical provision buffers and dynamic provisioning.	2022
		Paper on Macro prudential institutional Arrangements	2024
9. Systemic Risk Framework	**MFSD**	Technical paper and workshop on macroprudential instruments adapted for Viet Nam's financial sector.	2019
		Workshop (I) on macroprudential instruments.	2020
		Workshop (II) on macroprudential instruments.	2021
		Two-day workshop on macroprudential instruments and macroprudential framework.	2022
		Workshop on CCyB and LTV + DSTI implementation.	2022
		Workshop with SBV Branch Directors on macroprudential policy.	2022

		Workshop on institutional framework for the Financial Stability National Committee	2023
		Training on macroprudential instruments calibration	2023
		Draft of manual on CCyB and on LTV+DSTI limits	2023
10. Stress Testing Models and Early Warning Indicators	**MFSD**	Specifications for implementation of future macroprudential stress testing systems using IMF's Schmeider model.	2019
		Workshop on macroprudential stress testing.	2019
11. Systemic Risk Related Reports	**MFSD**	Review and workshop on 2019 FSR.	2020
		Review and workshop on 2020 FSR.	2021

ANNEX 8. SUMMARY OF KEY ADDITIONAL TA REQUESTS MADE UNDER VBSSD

1	PD Model Completed
2	Supervisory Gap Analysis together with road map for implementation of corrective actions completed
3	Workshop on international standards and good practices in connection to regulation and supervision of related parties and related party transactions
4	Develop guidelines on supervision of related party transactions for incorporation in BSA's Inspection and Supervision Manual
5	Support BSA in reviewing the legal and regulatory provisions on related parties and related party transactions and propose amendments to enhance the framework.
6	Note on Supervisory Organization Structure and implementation support completed
7	Comments/drafting suggestions on Circular 41/2016 on Capital Safety Ratios for Banks and foreign bank branches
8	Comments/drafting suggestions related to considering Interest Rate Risk in the Banking Book and stress testing provisions of Circular 13/2018 on Internal Control System of banks and foreign bank branches completed
9	Comments/drafting suggestions related to Circular 22/2019 on Limits and Safety Rates in operation of banks and foreign bank branches
10	Note on Horizontal Review of Stress Testing Practices in Selected Vietnamese banks
11	Develop Note on People's Credit Fund sector in Viet Nam
12	Data Warehouse Terms of reference and recruitment of consultant to assess status of CIC and AML data bases. Recruitment completed and Analysis due 3rd quarter 2025.
13	Paper on identification and prudential treatment of domestic systemically important banks
14	Further support in revising the domestic systemically important bank assessment methodology and conducting the related quantitative impact study